# Your ₹5 *lakh deposit* does not

# Branch Poster

# *Rate vs*

# Cash In Hand

❓ COMMON QUESTION

The interest rate printed by the bank is the net money added to your wealth.

✅ SOURCE-BACKED ANSWER

Income tax rules require you to pay tax on FD interest, reducing your net take-home return.

# The ₹5 *Lakh Deposit* Benchmark

VERIFIED MARKET METRIC

## ₹5 lakh

**Deposit size analyzed in the October 2026 report**

Across public lenders like SBI and PNB, and private banks like HDFC and ICICI, tax rules apply uniformly to interest payouts.

# How Fixed *Deposit Taxes* Actually Work

1

# Public vs *Private Lenders*

{'body': 'Whether you choose public sector giants like SBI and PNB or private banks like HDFC and ICICI, differences in advertised tenure rates can be completely overshadowed by the impact of your income tax bracket.'}

# Checks Before *Locking Your* Money



# Tenure Risk *And Shifting* Tax Brackets

{'body': "Locking ₹5 lakh for multiple years secures the bank's gross interest rate. However, if your total income rises into a higher tax bracket during that tenure, your real post-tax return will quietly drop."}

# Always Calculate *Post-Tax Returns* First

📌 **Save for Reference**
Bookmark this framework when making this money decision.

✈️ **Share with a Peer**
Send this to a fellow investor when they face this decision.

💬 **COMMUNITY DEBATE**

Save this post to calculate your real net yield before locking your next fixed deposit, and share it with family members who rely on bank interest.